EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Claveria, Cagayan was created by virtue of Royal Decree of Spain on June 5, 1865. It is a third class municipality situated on the northwestern coast of the Province of Cagayan.

Scope of Audit

The audit covered the accounts and operations of the Municipality of Claveria for the year 2021 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the Philippine Public Sector Accounting Standards (PPSASs), whether prevailing laws, rules and regulations have been complied with and funds were utilized in the most efficient, effective and economical manner. Financial, compliance and performance audit were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial condition, financial performance, appropriations, allotments and obligations of the Municipality of Claveria, Cagayan for the year ended December 31, 2021, with comparative figures for CY 2020, are as follows:

Particulars	2021	2020	Increase (Decrease)
Financial Position			
Assets	425,675,734.11	398,375,028.32	27,300,705.79
Liabilities	74,641,708.49	90,266,680.39	-15,624,971.90
Government Equity	351,034,025.62	308,108,347.93	42,925,677.69
Financial Performance			
Income	158,881,170.31	160,077,722.45	-1,196,552.14
Expense	114,330,512.62	119,225,566.00	-4,895,053.38
Appropriations, Allotments and Obligation			
Appropriations	161,365,620.53	156,395,954.04	4,969,666.49
Allotments	161,365,620.53	156,395,954.04	4,969,666.49
Obligations	113,976,724.55	122,101,650.97	-8,124,926.42

C. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Claveria, Cagayan for the year ended December 31, 2021 since the correctness and validity of the Property, Plant and Equipment account valued at ₱221,638,218.92 (net of depreciation) could not

ascertained due to non-conduct of physical inventory of PPE and non-submission of Report on Physical Count of PPE. The Audit Team was not able to apply other alternative audit procedures in determining the correct amount of said accounts.

D. Summary of Significant Observations and Recommendations

The following are among the Audit Teams significant audit observations and recommendations:

1. **Procurement of supplies and materials totalling to ₱7,905,759.65 were recognized as outright expenses instead of recording the same in the appropriate inventory accounts, contrary to pertinent provisions of The New Government Accounting Systems for Local Government Units hence, safeguards thereon were not adequately undertaken.**

   We recommended, pursuant to Sections 114, 118 and 121 Volume 1 of the New Government Accounting Systems for LGUs, that the Management set up the proper safeguards on various supplies, drugs and medicines by requiring:

   1. The General Services Officer to maintain stock cards for inventories received, to issue Requisition and Issue Slip for the issuance of inventories and prepare and submit to the Municipal Accountant the required Summary of Supplies and Materials Issued.

   2. The Municipal Accountant to maintain Supplies Ledger Card for each specific type of Inventories.

   3. The periodic physical inventory of supplies and materials. The physical count of unissued inventory items by type shall be conducted at least once a year and reported in the Report of the Physical Count of Inventories (RPCI).

2. **Thirty (30) programs, projects, and activities (PPAs) under the 20% Development Fund (DF) totalling to ₱33,789,088.61 were not fully implemented by the Municipality as at December 31, 2021, contrary to DBM-DOF-DILG Joint Memorandum Circular (JMC) No. 2020-1 dated November 4, 2020, thus, depriving its constituents of the expected socio-economic benefits that could have been derived therefrom.**

   We recommended that Management fast track the completion of all on-going and unimplemented projects funded under the 20% Development Fund.

   Likewise, We recommended that the Municipal Planning Development Officer monitor regularly the implementation of the 20% Development Plan, including continuing appropriations, and closely coordinate with the concerned departments in the implementation of these projects, in order for the Municipality to fully achieve the desired socio-economic targets and outcomes.

E. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	-	-	-	-	
Disallowances					
Prior Years	125,834.21	-	105,600.00	20,234.21	83.92%
Current Year	-	-	-	-	
Total	**125,834.21**	**-**	**105,600.00**	**20,234.21**	**83.92%**
Charges					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	-	-	-	-	

F. Status of Implementation of Prior Year's Unimplemented Audit Recommendations

Out of the six (6) audit recommendations in the CY 2020 Annual Audit Report, two (2) were implemented, two (2) were partially implemented, and two (2) were not implemented.